

form of warrants which is normally about 8-12 per cent of the debt.

Investors or LPs are today much more comfortable with venture debt. They have seen how it performs through cycles and how relatively low-risk this asset class is, and appreciate the consistent distributions and returns they receive.

Done along with or after an equity round, venture debt funds broadly provide high-teen returns to investors. About two-thirds of the returns come from fixed income.

“I think there is a lot more conviction in the venture debt asset class today. Volatility in returns is lower. The base returns are fairly consistent. From one vintage year to another, the equity kicker can outperform, and so the upside can be far greater. From a returns standpoint, the upside is uncapped and the downside is fairly protected,” says Rahul Khanna, Co-founder and Managing Partner, Trifecta Capital.

THE EVER-EXPANDING use-cases for venture debt help funds deploy more capital, faster. The supply of capital and the demand for this asset class has seen exceptional growth in the last two years. Many factors contributed to the growth. First, investors saw a sudden reduction in fixed-income returns from early 2020 and felt a need for safe, predictable fixed-income products which would give good returns. Second, pandemic tailwinds allowed for better depth and access to most digital businesses. It allowed venture debt providers to demonstrate that this asset class can yield greater returns at lower risks.

“As long as we were able to establish good performance, there was a substantially larger amount of money available from the domestic pool of investors. We came through the two waves of the pandemic with zero



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RAHUL KHANNA
CO-FOUNDER AND MANAGING PARTNER, TRIFECTA CAPITAL

losses. We showed that this is not so risky and it can give you predictable returns. It basically got more people excited about this asset class from the supply side,” says Alteria’s Murali.

On the demand side, the new normal saw the birth of a lot more start-ups and greater growth for existing ones and this ensured unlimited flow of equity into them. Traditionally, new-age companies looked at venture debt to primarily optimise dilution, finance growth, working capital or operating leverage, and to increase runway between rounds. Even with an equity upside built in, a debt round comes at a much lower cost than an equity one and founders often realise it only when a liquidity event takes place. The increasing frequency of liquidity events through IPOs, acquisitions and secondary deals has exposed and established the real value of equity. And this is driving many founders to debt to further protect their dilution.

Growth stage start-ups with multiple co-founders are increasingly looking at venture debt as their ownership gets diluted to single digits after a certain stage.

“Founders are becoming very sensitive about dilution. They are open to making the debt component a portion of the round to protect a few percentage points of their shareholding, so that they can raise the next round at a much higher valuation,” says InnoVen’s Sharma.

Acquisition financing, fuelled by the rise of ecommerce roll-ups, has been a major driver for venture debt in the last 12-18 months. With roll-ups—firms which acquire ecommerce brands with an aim to scale them up—ticket sizes go up substantially as they hinge on debt to complete quick purchases. That has resulted in a larger requirement and faster deployment of debt products.

“A typical equity firm can take, from start to finish even in a very